AI Governance Forum Minutes — Q2 2026

Organisation: Example Corporation Pty Ltd
Forum: AI Governance Forum
Meeting: Q2 2026 Governance Review
Date: 15 June 2026
Time: 10:00–11:30 AM
Location: Microsoft Teams
Chair: Chief Technology Officer (CTO)
Minutes: AI Governance Manager

Attendees

Name / Role	Function
Chief Technology Officer	Executive Sponsor / Chair
Chief Information Security Officer	Security
General Counsel	Legal & Privacy
Head of Data & AI	AI / Data
Head of Risk & Compliance	Risk
Head of Technology	Technology
HR Director	People
AI Governance Manager	Secretariat

Apologies: Chief Financial Officer

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1. Meeting Purpose

The Q2 AI Governance Forum was convened to:

- Review the organisation's AI governance posture.
- Review the AI system inventory and material changes during Q2.
- Review AI risk assessments and outstanding remediation actions.

- Review AI incidents, issues and reported AI-related concerns.
- Assess compliance against applicable AI governance requirements.
- Review progress against the AI Governance Improvement Plan.
- Approve decisions and actions requiring executive oversight.

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2. Previous Meeting Actions

Action	Owner	Due	Status
Complete AI system inventory	AI Governance Manager	31 May	✅ Complete
Finalise AI Usage Policy	Legal / AI Governance	15 May	✅ Complete
Complete Copilot risk assessment	CISO	30 May	🟡 In progress
Develop AI supplier assessment questionnaire	Procurement	30 Jun	🟡 In progress
Establish AI incident reporting process	Risk	31 May	✅ Complete

Outcome: Forum noted that the majority of Q1 actions had been completed. Two actions remain open and will be carried forward into Q3.

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3. AI System Portfolio Review

The Forum reviewed the current AI System Register.

Current portfolio

Category	Systems	Change Q/Q
Approved AI Systems	18	+5
Under Assessment	4	+2

Pilot / Experimental	6	+3
Rejected / Suspended	1	0
Total Identified	**29**	**+10**

The Forum noted that AI adoption increased significantly during Q2, particularly through:

- Microsoft 365 Copilot
- Customer service AI
- AI-enabled analytics
- Developer coding assistants
- Third-party SaaS products incorporating generative AI

Decision: The Forum approved the continued use of the AI System Register as the authoritative inventory for organisational AI systems.

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4. AI Risk Assessment Review

The AI Governance Manager presented the Q2 AI Risk Register.

Key risks

Risk	Rating	Trend	Treatment
Unauthorised disclosure of confidential information to AI systems	High	↔	DLP + policy controls
Hallucination / inaccurate AI output	High	↓	Human oversight + testing
Third-party AI supplier risk	High	↑	Supplier assessment
Excessive AI permissions	Medium	↑	IAM review
Regulatory uncertainty	Medium	↑	Legal monitoring
Shadow AI usage	High	↑	Monitoring + awareness

The Forum agreed that **third-party AI supplier risk** should be elevated as a priority due to increasing adoption of AI-enabled SaaS platforms.

Decision: Procurement and AI Governance to implement mandatory AI supplier assessment for new high-impact AI systems.

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5. AI Impact Assessments

Three new AI Impact Assessments were completed during Q2:

1. Customer Service Generative AI Assistant
2. HR Candidate Screening Assistant
3. Microsoft 365 Copilot

The Forum reviewed the assessment outcomes.

Key findings

The Customer Service AI Assistant was assessed as **Medium residual risk** following implementation of:

- Human oversight
- Output validation
- Data minimisation
- Access controls
- Monitoring
- Incident escalation

The HR Candidate Screening Assistant was assessed as **High inherent risk** due to potential impacts on individuals.

Decision: Deployment of the HR AI system is subject to completion of additional legal, privacy, fairness and human oversight controls.

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6. AI Incidents and Issues

The Forum reviewed AI-related incidents reported during Q2.

Incident summary

Total AI incidents: 3

Incident	Severity	Status
Incorrect customer-facing AI response	Medium	Closed
Employee entered confidential information into public AI tool	Medium	Closed
AI-generated report contained inaccurate information	Low	Closed

No incidents resulted in confirmed material data breach or regulatory notification.

The Forum noted that **AI misuse by employees remains a significant emerging risk**.

Action: HR, Security and AI Governance to conduct targeted AI awareness training during Q3.

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7. AI Policy Review

The Forum reviewed the following policies:

- AI Policy
- AI Acceptable Use Policy
- Information Security Policy
- Data Classification Policy
- Privacy Policy

The Forum confirmed that the AI Policy remains appropriate for the current operating environment.

However, the Forum identified a need to strengthen requirements around:

- Use of public generative AI tools
- Confidential and personal information
- AI-generated content validation
- Use of AI agents
- Employee use of AI coding assistants

Action: AI Governance Manager to update the AI Policy by 31 July 2026.

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8. AI Supplier Governance

The Forum discussed increasing reliance on third-party AI-enabled SaaS products.

Key concerns included:

- Model training on customer data
- Data retention
- Subprocessor arrangements
- Model transparency
- Security controls
- Data residency
- AI incident notification
- Intellectual property
- Regulatory compliance

Decision: AI systems classified as **High Impact** must undergo enhanced supplier due diligence before production deployment.

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9. AI Performance & Monitoring

The Forum reviewed AI system monitoring metrics.

Q2 metrics

- AI systems with completed risk assessments: **83%**
- High-impact AI systems with documented human oversight: **100%**
- AI systems with defined monitoring requirements: **78%**
- AI suppliers assessed: **71%**
- AI-related incidents closed within SLA: **100%**

The Forum agreed that supplier assessment coverage and monitoring coverage should be improved during Q3.

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10. ISO/IEC 42001 Management System

The AI Governance Manager provided an update on the AI Management System implementation.

Q2 progress

- AI Policy approved
- AI System Register established
- AI Risk Management process implemented
- AI Impact Assessment process implemented
- AI Incident Management process established
- AI Supplier Assessment process commenced
- AI Governance Forum established
- AI awareness program launched

The organisation is targeting an **ISO/IEC 42001 readiness assessment during Q4 2026**.

Decision: Forum endorsed the Q3 AI Management System improvement plan.

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11. Regulatory & External Developments

Legal and Risk provided an update on emerging AI regulatory developments relevant to the organisation.

The Forum agreed that AI regulatory requirements should continue to be monitored across:

- Australia
- European Union
- Singapore
- United Kingdom
- Other jurisdictions in which the organisation operates

Action: Legal to provide a quarterly regulatory update to the Forum.

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12. Q3 Priorities

The Forum agreed on the following priorities for Q3:

Priority 1 — AI Supplier Risk

Implement enhanced assessment and approval requirements for high-impact AI suppliers.

Priority 2 — Shadow AI

Improve visibility of unauthorised AI usage across the organisation.

Priority 3 — AI Monitoring

Increase monitoring coverage for high-impact AI systems.

Priority 4 — AI Incident Management

Conduct an AI incident tabletop exercise.

Priority 5 — ISO 42001

Continue implementation of the AI Management System and prepare for readiness assessment.

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13. Decisions Made

Decision	Owner	Date
Approve AI System Register as authoritative inventory	CTO	15 Jun
Require enhanced assessment for high-impact AI suppliers	CTO	15 Jun
Require additional controls before HR AI deployment	HR / Legal	15 Jun
Conduct AI incident tabletop exercise	CISO	Q3
Proceed with ISO 42001 readiness preparation	CTO	Q3

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14. Action Register

#	Action	Owner	Priority	Due

1	Complete Copilot risk assessment	CISO	High	30 Jun
2	Finalise AI supplier assessment	Procurement	High	31 Jul
3	Update AI Policy for AI agents and coding assistants	AI Governance	Medium	31 Jul
4	Conduct AI incident tabletop exercise	CISO	High	31 Aug
5	Increase AI monitoring coverage to >90%	Technology	High	30 Sep
6	Complete HR AI additional assessment	HR / Legal	High	31 Jul
7	Prepare ISO 42001 readiness assessment	AI Governance	High	30 Sep

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15. Next Meeting

Date: 15 September 2026
Focus:

- Q3 AI risk posture
- AI incidents
- AI supplier risk
- AI regulatory developments
- AI system portfolio
- ISO/IEC 42001 readiness
- Q4 improvement plan

Meeting closed: 11:30 AM

Governance record metadata

Document Owner: AI Governance Manager
Classification: Internal
Review Frequency: Quarterly
Related Records: AI System Register, AI Risk Register, AI Impact Assessments, AI Incident Register, AI Supplier Register, AI Policy, AI Management System Improvement Plan
Approval Status: Approved by AI Governance Forum